

A Phased Roadmap to Fix Margin Visibility – Not Just Replace Software

Alpha Manufacturing Group • Executive Review

The Current Setup Is Actively Hurting the Business

AMG isn't short on effort – it's working against tools that were never built for how the business runs today.

~80% of custom orders lost margin last year

5 sites relying on manual workarounds

An Aging Core

A 20-year-old ERP still runs Finance, Manufacturing, and Procurement – but it was never built for a business where nearly every order is custom.

A Disconnected Design System

Engineering keeps BOMs in a separate database that only syncs once a night, so production sometimes works from data that's already out of date.

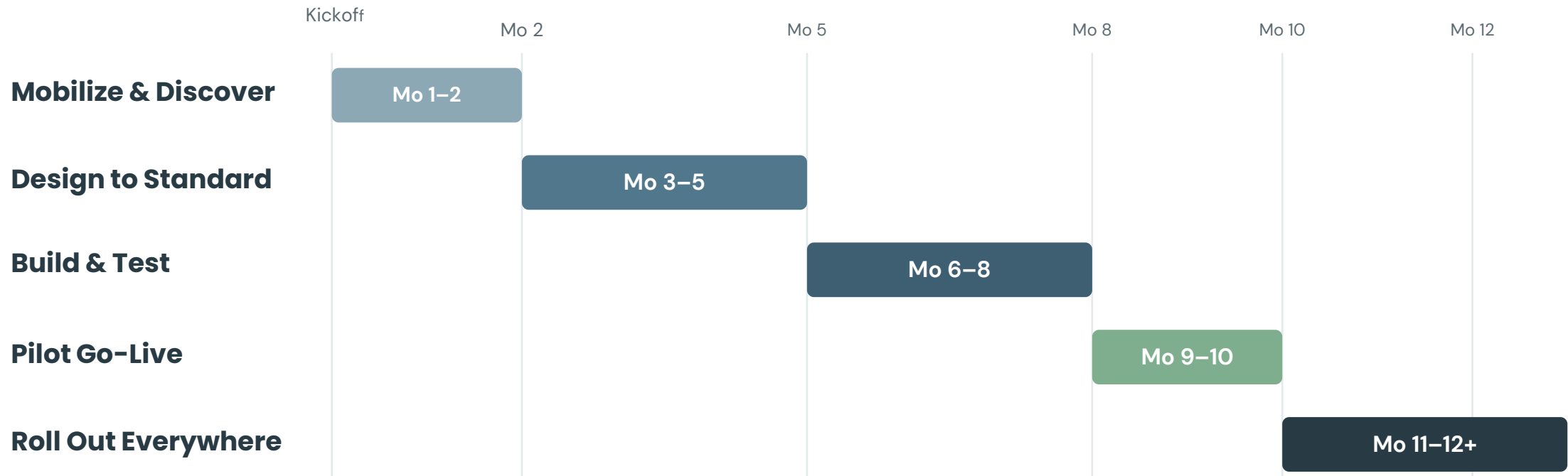
No Real Margin Visibility

Without reliable job costing, AMG can't tell which custom orders are profitable until the job is already finished.

PROGRAM APPROACH

One Site First, Then Roll Out What Works

We prove the model at a single site before asking all five locations to run on it.



Guiding principle: protect what's running before we add anything new.

The Risks We're Actually Watching For

RISKS

MITIGATION STRATEGY

Bad data going into the new system

Bad data has a way of quietly riding along into new systems, so every migrated BOM gets engineering sign-off and a cleanse pass first.

Rebuilding old habits in new software

The fit-to-standard rule and a change board reviewing every request keep us from just recreating the old system with new buttons.

US/Canada consolidation issues

Corporate finance runs the consolidation close alongside the single-entity pilot, proving it works before any other site's numbers depend on it.

People reverting to Excel

Training runs on real AMG data, and site champions carry that knowledge into every site that follows.

Staff stretched thin running the business and the project

Business Process Owners are backfilled at their home sites, and the SI partner itself is chosen through the same steering-committee rigor as every other program gate.

Day One Is What Keeps the Business Running

If it isn't needed to run the business or see the numbers, it waits until the core is stable.

DAY ONE MUST-HAVES

Finance & the close

GL, AP, AR, and consolidation across all five entities.

Procurement, MRP & inventory

The engine that turns orders into production plans.

Live BOM/engineering integration

Real-time, not overnight – no more stale part lists.

Job costing & margin tracking

Contribution margin visible by order, not discovered after the fact.

Aftermarket parts & service

Order entry & inventory go live Day-1; service-contract tracking is deferred.

LATER

- ☐ CRM integration
- ☐ HR / Payroll integration
- ☐ Advanced analytics
- ☐ Customer portal & non-essential add-ons
- ☐ Service-contract & warranty tracking

The business survives fine without these for a few more months – so they don't compete for attention during go-live.

We Configure First. We Customize Only If We Have To

This is how we protect the 12-month deadline from ourselves.

01

Standard First

We use what the ERP already does well before anyone builds something new on top of it.

02

Governance

Every exception needs a written business case and formal sign-off: no side deals, no quiet workarounds.

03

Built to Last

Approved extensions sit outside the core, so future upgrades stay simple instead of turning into projects.

Old Data Doesn't Disappear – It Gets Sorted

We sort history into three tiers, so the new system stays fast, and nothing is actually lost.

Tier 1

What's Open Right Now

Moves over in full: open orders, POs, WIP, and AR/AP balances – everything the business needs the moment it goes live.

Tier 2

A Few Years of History

Moves over summarized – enough detail for trend reporting and year-over-year comparisons, without the full transaction weight.

Tier 3

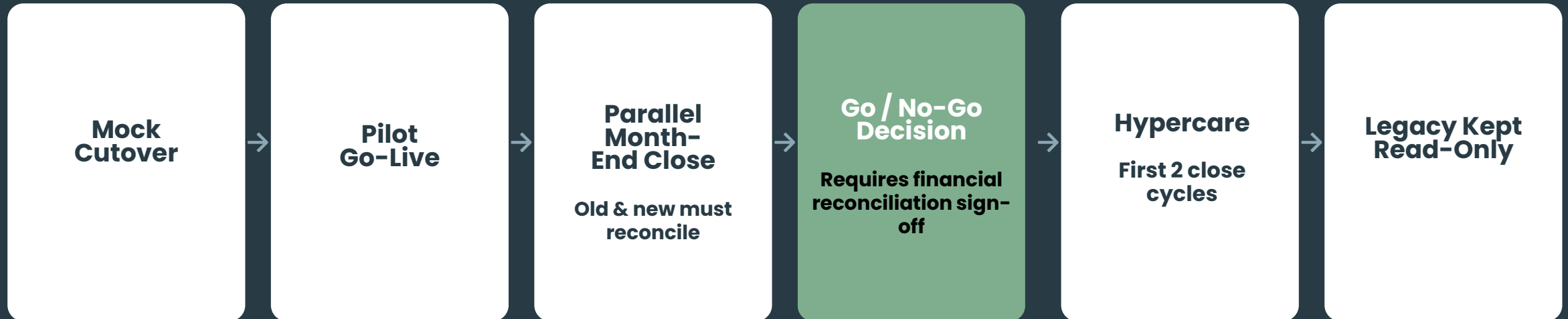
Everything Older

Archived, not migrated. Still accessible on demand, it's just no longer sitting in the way of daily operations.

Leadership can still pull any of this, current or archived, without waiting on IT.

Nobody Goes Live Without a Dress Rehearsal First

We test the close before we trust the close.



Reporting sandbox stays live throughout – leadership's KPI visibility never depends on the cutover date

Who Decides What – and How Often

	BODY	COMPOSITION	DECIDES	CADENCE
01	Steering Committee	Executive Sponsor, CFO, VP Ops, VP Engineering, Program Director	Phase-gate scope approval; go/no-go at each cutover	Monthly + each gate
02	Change Advisory Board	Program Director, functional leads, SI lead architect	Reviews the customization register; approves/rejects deviation	Weekly
03	Data Governance Stewards	Named owner per master-data domain (item, BOM, customer, vendor, cost)	Cleanse-before-migrate sign-off; mock-load reconciliation	Per migration cycle

BUSINESS OUTCOMES

What Changes Once This Is Live

1 Fewer Surprises on the Floor

Accurate BOMs and a live engineering feed mean production stops finding out about changes after the fact.

Target: zero unplanned stoppages from stale BOM data by pilot close #2

2 Real Margin Visibility

Leadership can finally see which orders make money – while the job is still open, not after it ships.

Target: margin-erosion orders down from ~80% to <40% within two quarters

3 One Clean System

Fewer disconnected tools and manual patches means less time spent reconciling numbers between systems.

Target: BOM sync moves from overnight to real-time, Day One

4 Faster, Trusted Close

A close that finance can stand behind on the first pass, not after a week of chasing down discrepancies.

Target: close time down 2–3 days at pilot site post-hypercare

INVESTMENT & RETURN

What This Costs, and What It's Worth

Illustrative estimates, to be finalized once SI proposals are in during Phase 0.

YEAR-1 INVESTMENT

\$0.9M – \$1.3M

Covers software, implementation, and data migration. Ongoing run-rate after go-live: \$150K–\$300K per year, scaling with the Wave 2 rollout.

EXPECTED RETURN

\$1M – \$2M / yr

From recovering just 2–3 margin points on today's ~80% margin-erosion rate. Implies a 12–18-month payback on the Year-1 investment.

Benchmarked against peer engineer-to-order manufacturers of AMG's size; final numbers confirmed after SI selection.

What We Need From This Room

1 Approve the phased, pilot-first rollout

One site proves the model before the other four inherit it.

2 Back fit-to-standard, even when it means saying no

That discipline is what keeps the 12-month date realistic.

3 Help us confirm the pilot site

We'll select against four criteria: clean data today, representative complexity, willing local leadership, and single-entity status to de-risk the first cutover. Canada joins in Wave 2, once consolidation is proven.

When this is done, AMG gets a stable, margin-transparent core in 10 months – with the other four sites de-risked before they ever go live.



Happy to take your questions!